ContractLens MAS — Comparative Synthesis Report

Programme Non-Compliance Without Early Warning

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Agents: GCC Agent · NEC Agent · Comparison Agent
Workflow: Query Decomposition → Parallel Querying → Cross-examination → Synthesis → QA
Overall verdict: **PASSED**

Context / Scenario

Contractor late on programme submission and execution. No early warning issued. Engineer/PM seeks to understand contractual consequences.

Topic

The contractor submits the initial programme two weeks late and subsequently falls four weeks behind the accepted programme. No early warning notice has been issued. Compare the procedural consequences and remedies available to the Engineer/PM under each contract.

Questions

Consequences and remedies for late programme submission without early warning.

Query Plan

L1 — Spirit / Philosophy: How does the contract's governance philosophy allocate responsibility for timely and transparent programme management when the contractor fails to submit or maintain an acceptable programme?
L2 — Clause-level Provisions: What clauses define the contractor's obligations to submit the initial programme, update or comply with the accepted programme, give early warning or notice of delay, and what powers, sanctions, or remedies are available to the contract administrator when those obligations are breached?
L3 — Practice Implications: In practice, how does late programme submission combined with subsequent delay and absence of early warning affect administration of progress, assessment of delay relief, payment or withholding mechanisms, instructions to recover, and the contractor's exposure to adverse consequences?
Canonical topic: programme_obligations

Anchor Clauses

GCC: Clause 16, Clause 51, Clause 50(1)(a), Clause 81
NEC4: cl. 15.1, cl. 15.4, cl. 31.1, cl. 32.1, cl. 91.1

Comparative Synthesis

> **Executive summary —** GCC gives the Engineer recovery, withholding and default levers but limits late claims; NEC imposes a direct 25% first-programme retention and adverse CE assessment. GCC is Engineer-led and retrospective, while NEC is relational and prospective, requiring earlier warnings, forecasts and evidence.

1. Spirit / Philosophy — Engineer control versus proactive risk governance.

GCC: The GCC approach is Engineer-led, compliance-based and claims-oriented. Programme submission, delay notice, particulars and payment certification are administered through formal written steps; in Transaction

Cost Economics terms, it controls uncertainty and opportunism through ex post verification, sanctions and certification powers.

NEC: NEC4 ECC treats time and risk management prospectively under the spirit of mutual trust and co-operation in cl. 10.2. The Accepted Programme, early warnings, revised programmes and compensation-event assessment form a relational governance system designed to reduce transaction costs by requiring transparent forecasting and early mitigation rather than retrospective blame allocation.

2. GCC Position (Implementation) — Late programme becomes breach and recovery control.

Implementation flow:

1. Contractor submits initial programme within 14 days of acceptance of the Tender (Clause 16(1)) →
2. Contractor gives written delay notice within 28 days of cause arising, or forthwith when an Engineer order is foreseeably likely to delay (Clause 50(1)(a)) →
3. Contractor gives notice of intention to claim additional payment within 28 days after the event (Clause 64(2)) →
4. Engineer informs Contractor in writing if progress is too slow; Contractor immediately expedites and revises Clause 16 programme (Clause 51(1)) →
5. Engineer may instruct night work or extended hours (Clause 51(2)) and consider payment/default remedies (Clause 79(5), Clause 81(1)(e)).

Clause 16(1) requires the Contractor to submit the initial programme within 14 days of acceptance of the Tender; a submission two weeks late is a breach. Clause 16(2) preserves the Contractor's duties: submission or approval of the programme does not relieve the Contractor of any duty or responsibility under the Contract.

The GCC has no general NEC-style early warning regime. Instead, Clause 50(1)(a) requires written notice of the cause and probable extent of delay within 28 days of the cause arising, and adds a foresight proviso: "as soon as the Contractor can reasonably foresee that any order or instruction issued by the Engineer is likely to cause a delay... the Contractor shall forthwith give notice in writing". Clause 50(3) then limits EOT administration if full and detailed particulars are not submitted: the Engineer considers EOT "only to the extent that the Engineer is able on the information available". Clause 50(4) is cited in the programme/delay framework, but no further operative detail was provided.

For money, Clause 64(2) requires a written notice of intention to claim additional payment within 28 days after the happening of the event. Clause 64(5) is an absolute time bar: if the 28-day Clause 64(2) notice is not given, "such claim shall not be considered". Clause 64(6) similarly concerns cost particulars.

Where the Contractor is four weeks behind, Clause 51(1) applies if, in the Engineer's opinion, the rate of progress is "too slow to ensure completion by the prescribed time". The Engineer may inform the Contractor in writing; the Contractor must immediately take necessary steps to expedite completion and "revise the programme referred to in Clause 16 accordingly". Under Clause 51(2), the Engineer may instruct night work or extended hours if necessary due to slow progress.

The standard GCC has no liquidated financial penalty specifically for late programme submission. However, Clause 79(5) allows the Engineer to "omit from any certificate the value of any work done, materials supplied or services rendered with which the Engineer may for the time being be dissatisfied... or for any other reason which to the Engineer may seem proper". If delay and breach persist after warning, Clause 81(1)(e) allows expulsion: if the Engineer certifies that the Contractor, "despite previous warning by the Engineer in writing", is failing to proceed with due diligence or is persistently in breach, the Employer may, after giving 7 days' notice, expel the Contractor from the Site.

3. NEC4 Position (Implementation) — First programme retention and CE consequences.

Implementation flow:

1. Contractor submits first programme within the period stated in Contract Data if none is identified (cl. 31.1) →
2. PM retains 25% of Price for Work Done to Date at assessment until a compliant first programme is submitted (cl. 50.1, cl. 50.5) →
3. PM replies within two weeks to accept or reject the submitted programme (cl. 31.3; cl. 13.4) →
4. Contractor gives early warning as soon as aware of matter delaying Completion or increasing Prices (cl. 15.1) →
5. PM instructs revised programme showing actual progress and delay response; PM replies within two weeks (cl. 32.1, cl. 32.2, cl. 31.3) →
6. If CE/early warning failures arise, PM applies cl. 61.5, cl. 63.7, cl. 61.3, cl. 64.1, cl. 64.2 and, for Options C/D/E, cl. 11.2(26).

Under NEC4 ECC, time and risk management are prospective and governed by mutual trust and co-operation (cl. 10.2). If no programme is identified in the Contract Data, the Contractor must submit a first programme to the Project Manager for acceptance within the period stated in the Contract Data (cl. 31.1). cl. 31.2 is cited as part of the programme framework, but no operative wording was provided in the source material.

If the Contractor misses the first-programme deadline, the Project Manager must retain 25% of the Price for Work Done to Date in assessing the amount due until the Contractor submits a first programme showing the required information (cl. 50.1, cl. 50.5). Once the first programme is submitted, even two weeks late, the Project Manager must reply within two weeks, accepting it or giving contractual reasons for non-acceptance (cl. 31.3). The source also states that the Project Manager releases the 25% retention in the next payment certificate following submission of a first programme containing all required information, and replies within two weeks to accept or reject it (cl. 13.4, cl. 31.3, cl. 50.5). The cl. 50.5 retention applies only to failure to submit the first programme; it cannot be used to penalise failure to submit later revised programmes or being behind schedule.

The Contractor must give early warning to the Project Manager as soon as it becomes aware of any matter which could delay Completion or increase the total of the Prices (cl. 15.1). Revised programmes must be submitted at the interval stated in the Contract Data or when instructed by the Project Manager (cl. 32.2), and must show actual progress and “how the Contractor plans to deal with any delays” (cl. 32.1). If the recovery plan is not achievable, the Project Manager may reject it because it “does not represent the Contractor’s plans realistically” or because “the Contractor’s plans which it shows are not practicable” (cl. 31.3).

If the four-week delay involves a compensation event, the Project Manager notifies the Contractor of failure to give an early warning when instructing the quotation (cl. 61.5). The event is then assessed as if the Contractor had given the early warning (cl. 63.7), excluding avoidable time and cost. Under Options C, D and E, cost incurred because the Contractor failed to give a required early warning is Disallowed Cost and deducted from payment (cl. 11.2(26)). If the Contractor failed to notify a compensation event within 8 weeks of becoming aware, it loses all entitlement to a change in the Prices or Completion Date (cl. 61.3). If an instructed revised programme is not submitted or is rejected for a contractual reason, the Project Manager assesses compensation events using their own assessment of the remaining-work programme (cl. 64.1, cl. 64.2).

4. Behavioural Implications — Retrospective notices become live risk tools.

Under GCC, the Contractor’s immediate exposure is breach of Clause 16(1), then loss or restriction of entitlements if delay and cost notices are not preserved. The Engineer’s behaviour is formal and sequential: issue written slow-progress communication under Clause 51(1), require immediate expedition and a revised Clause 16 programme, consider night work or extended hours under Clause 51(2), administer EOT only on available information under Clause 50(3), reject unnotified money claims under Clause 64(5), and escalate to

Clause 81(1)(e) if due diligence failures persist after warning.

Under NEC4, the PM's response is more immediate and commercial. Missing the first programme triggers the cl. 50.5 25% retention against Price for Work Done to Date until a compliant first programme is submitted. Falling four weeks behind without early warning shifts the focus to updated forecasting: the PM instructs a revised programme under cl. 32.2, requires actual progress and delay-management proposals under cl. 32.1, and accepts or rejects the programme within two weeks under cl. 31.3.

The evidential incentive also differs. GCC evidence protects retrospective EOT and payment claims; NEC evidence supports live mitigation, quotations, Accepted Programme integrity and compensation-event assessment. No early warning under NEC can reduce CE recovery through cl. 61.5 and cl. 63.7, become Disallowed Cost under cl. 11.2(26) for Options C/D/E, and combine with the 8-week cl. 61.3 time bar to remove entitlement entirely.

Implementation comparison (GCC vs NEC4)

Aspect	GCC	NEC4
Initial programme deadline	Within 14 days of Tender acceptance (Clause 16(1)).	Within Contract Data period if none identified (cl. 31.1).
Late first programme sanction	Breach; no specific liquidated programme penalty (Clause 16(1)).	Retain 25% PWDD until compliant first programme (cl. 50.5).
Delay warning trigger	Delay notice within 28 days of cause (Clause 50(1)(a)).	Early warning as soon as aware (cl. 15.1).
Recovery programme power	Engineer requires expedition and revised Clause 16 programme (Clause 51(1)).	PM instructs revised programme showing delay response (cl. 32.1, cl. 32.2).
Unnotified money claim	Claim not considered if 28-day notice missed (Clause 64(5)).	CE entitlement barred if 8-week notice missed (cl. 61.3).
Administrator assessment power	EOT only on available information (Clause 50(3)).	PM assesses CE if programme missing/rejected (cl. 64.1, cl. 64.2).

5. GCC Lessons for NEC Adoption — GCC routines transfer, but must move earlier.

Hong Kong practitioners already know the discipline of Clause 16(1): a programme is a contractual submission, not a courtesy document. That habit transfers directly to NEC cl. 31.1, but the behavioural adjustment is sharper because cl. 50.5 attaches a 25% Price for Work Done to Date retention until a compliant first programme is submitted; the programme becomes a payment-critical control baseline.

GCC Clause 50(1)(a) and Clause 64(2) notice routines transfer to NEC cl. 15.1 early warnings and cl. 61.3 compensation-event notices. The adjustment is timing and purpose: GCC practitioners accustomed to 28-day delay and claim notices must warn the PM as soon as they become aware of matters that could delay Completion or increase Prices, and must preserve CE entitlement within 8 weeks of becoming aware where cl. 61.3 applies.

GCC slow-progress administration under Clause 51(1) and Clause 51(2) transfers to NEC revised-programme management under cl. 32.1 and cl. 32.2. The familiar recovery-programme skill remains useful, but NEC requires the Contractor to show actual progress and how it plans to deal with delays, while the PM tests whether the plan is realistic and practicable under cl. 31.3.

GCC particulars and record habits under Clause 50(3), Clause 64(6), Clause 78(3), Clause 79(5) and SCC

Clause A1(10) transfer to NEC quotations, Accepted Programme assessment and cost consequences under cl. 61.5, cl. 63.7, cl. 11.2(26), cl. 64.1 and cl. 64.2. The practical reframing is simple: use GCC claim, record, variation and delay-analysis habits earlier under NEC as forecasting, mitigation and commercial-management tools.

GCC practice / experience	Transfers to NEC implementation
Clause 16(1) initial programme submission discipline.	Use for cl. 31.1 compliance; avoid cl. 50.5 25% retention.
Clause 50(1)(a) 28-day delay notices.	Convert to cl. 15.1 early warnings as soon as aware.
Clause 64(2) claim notice and Clause 64(6) particulars.	Support cl. 61.3 CE notice and quotation evidence within 8 weeks.
Clause 51(1) recovery programme after slow-progress warning.	Prepare cl. 32.1 revised programme showing actual progress and delay response.
Clause 50(3) EOT analysis on available information.	Feed cl. 63.7 and cl. 64.1/cl. 64.2 PM assessment evidence.

6. HK-Specific Notes — PAH SCC controls and DEVB NEC guidance apply.

For GCC mega project contracts, the Project Administration Handbook (PAH) Chapter 5, Appendix 5.36 prescribes stricter mechanisms through SCC Clause A1 that directly address programme slippage and reporting. SCC A1(6)(b)(iv) requires the Contractor to review and submit an amended Works Programme if the Contractor foresees a “significant deviation between the actual or anticipated progress of the Works and the Works Programme”. Under SCC A1(7), if the Engineer notices a significant deviation, the Engineer may issue a written instruction requiring the Contractor to produce a revised version within 14 days.

SCC A1(10) requires the Contractor to submit a Monthly Progress Report highlighting departures from the Works Programme and proposing measures to make good the delays. An amendment to Clause 78(3) makes submission of this Monthly Progress Report a “condition precedent to consideration by the Engineer of any sums due to the Contractor”. The result is stronger than the standard GCC programme breach position: failure to provide the programme-based report can block the interim payment mechanism. The GCC expert response also states that Works Bureau Technical Circular WB1900 does not address this aspect.

For NEC4 ECC in Hong Kong, the DEVB Practice Notes provide guidance on enforcing the NEC mechanisms. On the 25% retention, DEVB reminds Project Managers that cl. 50.5 applies only to the first programme. Great care must be exercised: the Project Manager should not accept a substandard first programme merely to tick a box and avoid retaining funds, because the Accepted Programme is essential for project control.

For failure to provide early warning, DEVB Practice Notes Section A6.1.1.20 states that early warning is a strict contractual requirement. If the Contractor fails to provide it, the Project Manager must invoke cl. 61.5 and cl. 63.7 to assess the event as if the warning had been given. Under Options C and D, the Project Manager is instructed to use discretion to treat costs incurred due to the lack of early warning as Disallowed Cost.

On mitigation versus acceleration, the DEVB guidance states that the Contractor is strictly obliged to mitigate delays to optimise planned Completion at no cost or inefficiency to itself, for example by resequencing. If the Project Manager wants actively to bring the Completion Date forward using additional resources, the PM must instruct a quotation for acceleration under cl. 36.1. Acceleration cannot be unilaterally imposed on the Contractor; it requires mutual agreement.

Rule-based Validation Summary

Overall verdict: PASSED
Confidence: 0.90
Iterations used: 1
Rule-based track: fail

Metric	Value	Threshold	Status
Citation Accuracy Rate (GCC)	1.00	≥ 0.85	pass
Citation Accuracy Rate (NEC4)	1.00	≥ 0.85	pass
Coverage Rate (GCC)	1.00	≥ 0.85	pass
Coverage Rate (NEC4)	0.60	≥ 0.85	fail
Composite Confidence	0.90	≥ 0.70	pass

GCC anchors covered: Clause 16, Clause 51, Clause 50(1)(a), Clause 81

NEC4 anchors covered: cl. 15.1, cl. 31.1, cl. 32.1

LLM Semantic Validation (Track 2)

Track verdict: fail
Severity: significant
Default codes: E1 (hallucinated clause), E2 (egregious content mismatch)
Diagnostic-only — does NOT gate the overall verdict.

#	Type	Type description	Issue
1	E1	Hallucinated clause — cited in synthesis but absent from raw evidence	The synthesis cites SCC Clause A1(6)(b)(iv), but the GCC raw evidence only lists SCC Clause A1(6) and does not include that subclause number.
2	E1	Hallucinated clause — cited in synthesis but absent from raw evidence	The synthesis cites DEVB Practice Notes Section A6.1.1.20, but that numbered section does not appear anywhere in the NEC raw evidence.
3	E1	Hallucinated clause — cited in synthesis but absent from raw evidence	The synthesis cites NEC cl. 36.1 for acceleration, but cl. 36.1 does not appear anywhere in the NEC raw evidence.

Proposed gap queries (for retry)

• Retrieve the text/evidence for GCC SCC Clause A1(6)(b)(iv) addressing significant deviation from the Works Programme.

• Retrieve NEC/DEVB evidence for DEVB Practice Notes Section A6.1.1.20 on early warnings and NEC4 ECC cl. 36.1 on acceleration.